

ANNUAL REPORT

Financial year

2023

Najran
CEMENT

NAJLAN CEMENT COMPANY

www.najrancement.com

Najran CEMENT

NAJLAN CEMENT COMPANY

SAUDI JOINT STOCK COMPANY



King Saud Road, - Najran 66256-3579 9204
Kingdom of Saudi Arabia

Phone : 017 5299990 Fax : 017 5299991

website: www.najrancement.com

e-mail: info@najrancement.com

The report of the Board of Directors of Cement Company to the Ordinary General
Assembly of the shareholders for the financial year 2023

Paid up Capital

SAR 1,700,000,000





KING OF SAUDI ARABIA

CUSTODIAN OF THE TWO HOLY MOSQUES KING

SALMAN BIN ABDULAZIZ AL SAUD



HIS ROYAL HIGHNESS PRINCE
MOHAMMED BIN SALMAN BIN ABDULAZIZ AL SAUD
CROWN PRINCE OF SAUDI ARABIA
FIRST DEPUTY PRIME MINISTER OF SAUDI ARABIA



HIS HIGHNESS
JALAWI BIN ABDULAZIZ BIN MUSA'ED AL SAUD
GOVERNOR OF NAJLAN PROVINCE



HIS ROYAL HIGHNESS
TURKI BIN HATHLOUL BIN ABDULAZIZ AL SAUD
DEPUTY GOVERNOR OF NAJRAN PROVINCE

1 CHAIRMAN'S MESSAGE

Dear Shareholders of Najran Cement Company,

On behalf of the Board of Directors of Najran Cement Company, I am pleased to present to you the annual report on the company's activities and achievements for the financial year ended 31 December 2023, in addition to the general budget and final accounts, which reflects the company's performance in delivering the expectations of its shareholders in a way that contributes to supporting the cement industry and strengthening the national economy.

The Saudi cement market witnessed a decrease in demand during 2023, as cement sales in the Saudi market decreased by 7% compared to last year, which led to a decrease in your company's sales by 9%. This decline in demand has led to increased competition, which in turn has put pressure on selling prices and reduced profit margins. Despite that, the company was able to continue to achieve healthy profits during the year 2023, despite weak demand and intense competition as the company achieved a net profit of SAR 69.5 million with an annual decrease of 39%. The company was also able to maintain the same level of production cost per ton compared to last year, despite global and local inflationary pressures resulting from supply chain disruption, which was reflected in the high cost of production inputs, due to the company's continued efforts to rationalize expenses and raise production efficiency and operating efficiency. In addition, during 2023, the company doubled the fleet count and operations of its subsidiary, which operates in the field of land transport, which contributed to reducing the operational costs of Najran Cement Company.

The efforts of the company's executive management and all departments and employees of the company will continue to further develop its production activities and improve performance to new levels, under the supervision and directives of its Board of Directors with an aim to achieve the aspirations and hopes of the valued shareholders in accordance with the Kingdom's Vision 2030.

In conclusion, on behalf of the Board of Directors of the company, I thank our wise Government for its continuous support, and I thank you, dear shareholders, for your support and trust. I look forward to your continued support so that together we can build a company that delivers excellence.

Chairman of Board of Directors
Waleed Abdulrahman Abdullah al Mousa

VIEW OF THE LEADERSHIP

2 COMPANY PROFILE

Najran Cement Company is a Saudi Joint Stock Company with a paid-up capital of SR 1,700 million riyals. This is the 5th largest cement manufacturing Company in the Kingdom of Saudi Arabia.

The Company's head office is located in the city of Najran. Company operates from two locations, main factory which is located at Sultana, 240 km NorthEast of Najran city and a standalone grinding unit at Aakfah, 70 km to the West of Najran on the road to Asir region.

The Company has three production lines with an annual production capacity of 5.1 mil tons of clinker and cement grinding capacity of 6.3 mil tons. The Company has installed a waste heat recovery plant (WHR plant) at its main factory which having a gross power generation capacity of 27.1 MW. This helps the Company to recover and re-use 22-24% of the heat discharged during heating process involved in clinkerization.

HISTORY

Established the Company

in Oct 2005 under commercial registration 5950010479

Commissioned «Line II»

production facility in Jul 2008 with capacity 3,000 tons/day

Commissioned «Line III»

production facility in Jul 2013 with capacity 6,500 tons/day

Started commercial operation

of fully owned transportation subsidiary company «Wasl Janub Land Transportation Company» in Oct 2021

2005

2008

2013

2021

2007

2009

2014

Commissioned «Line I»

production facility in Aug 2007 with capacity 6,000 tons/day

Commissioned a standalone grinding

unit in Apr 2009 with two cement mills of grinding capacity 5,400 tons/day

Commissioned Waste heat Recovery based power plant

in Jun 2014 with gross power generation capacity of 27,1 MW



OUR VISION

To be a role model in the cement industry locally and regionally.

OUR MISSION

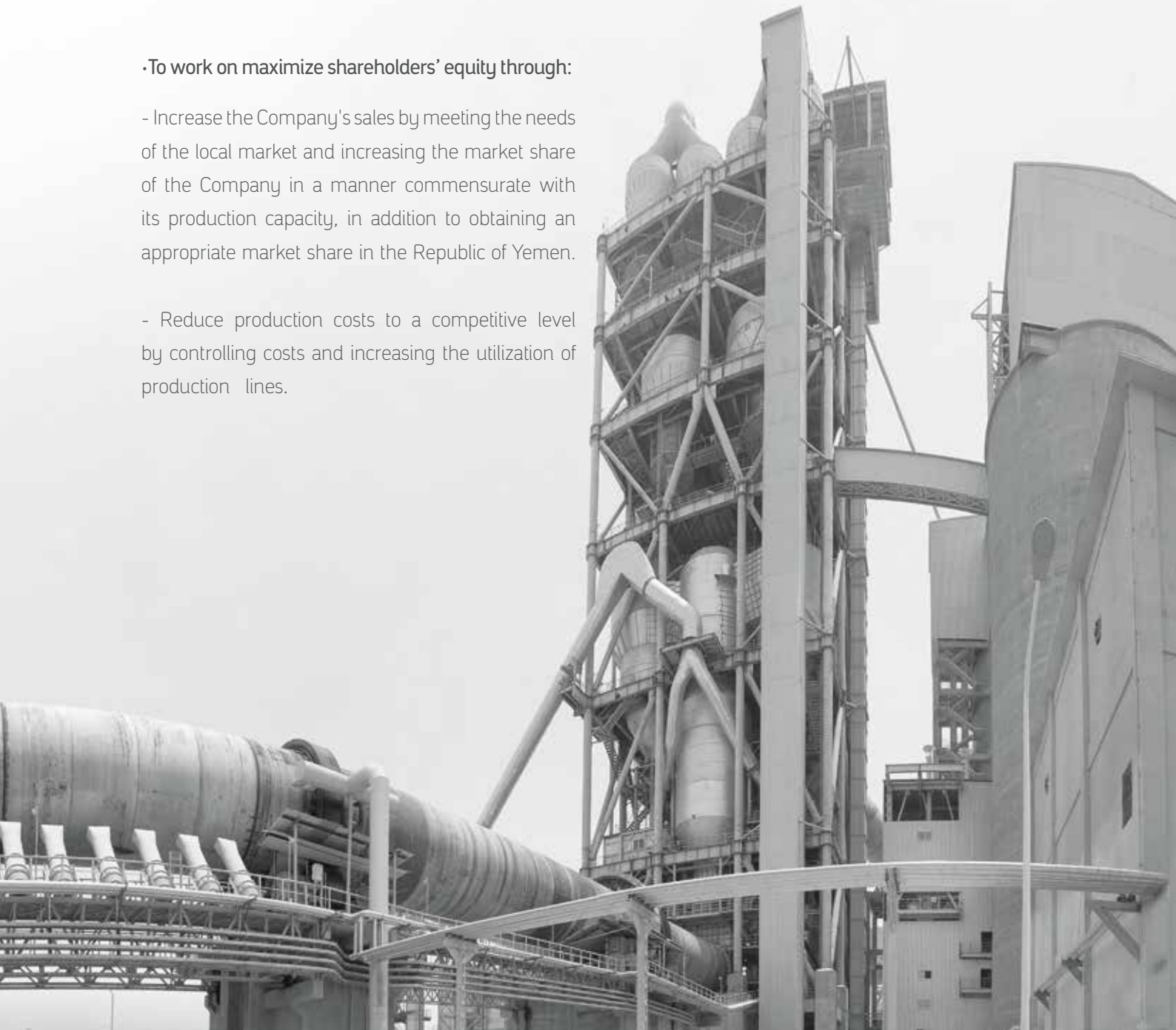
Enhance the position of the Company in the immediate markets by reliably providing high quality products, and to adhere to effective commercial practices in a way that maximizes economic benefits for all relevant parties.

OUR STRATEGY

•To contribute in achieving the goals of the Kingdom of Saudi Arabia's vision 2030, the most important of which is to increase the private sector's contribution to the GDP from 40% to 65% and raise the share of non-oil exports in non-oil GDP from 16% to 50%.

•To work on maximize shareholders' equity through:

- Increase the Company's sales by meeting the needs of the local market and increasing the market share of the Company in a manner commensurate with its production capacity, in addition to obtaining an appropriate market share in the Republic of Yemen.
- Reduce production costs to a competitive level by controlling costs and increasing the utilization of production lines.



3 COMPANY'S ACTIVITIES

Major activities of the Company are manufacturing and marketing of various types of cement. The table below shows the designed capacity for production of Clinker & Cement:

Description	Designed capacity in tons	
	Daily	Annual
Clinker	15,500	5,115,000
Cement	19,800	6,336,000

Currently four types of cements are produced in its production facilities. Details of cement produced are:

(a) Ordinary Portland Cement (OPC)

Ordinary Portland Cement (OPC) is widely used in the production of concrete. This cement is mixed with gravel, sand and water to form a composite material which can be cast in any shape desired. Upon hardening this composite material (concrete) becomes a load bearing element. Concrete can be used in the construction of structural elements like columns, foundation, panels, beams and structures like roads and dams.



(b) Sulphate Resistant Cement (SRC)

Sulphate Resistant Cement (SRC) is a special type of cement used in building structures that are immersed and exposed to soil or water for long periods where the sulphate content is high. This type of cement is used in the construction of the following: geothermal areas, mining and other acidic environments, sea walls and reservoirs, water and sewage pipelines and treatment plants, off-shore platforms and underground structures.



(c) Portland Pozzolana Cement (PPC)

Portland Pozzolana Cement (PPC) has the following characteristics: Low Heat of Hydration, Low Alkali content and better workability. This is manufactured by addition of Natural Pozzolana material which has a reactive form of Silica. Portland Pozzolana Cement is also an environment friendly product of cement and lower the Carbon emission from the cement plant. This cement is also used in building constructions.



(d) Finishing Cement (Lyasah)

Finishing Cement (Lyasah) is characterized as a lighter color cement. The production of Finishing Cement (Lyasah) lowers carbon emission in the cement plant. By the use of industrial by-products in the production of this type of cement it promotes the preservation of natural resources. This cement is basically as the name suggests is used for the finishing of the walls, structures, etc.



4 SUBSIDIARY COMPANY

Najran Cement Company has one wholly owned subsidiary registered in the Kingdom under Commercial Registration # 5950119264. Details of the subsidiary are:

Name of subsidiary company	Paid up capital	Percentage of ownership	Main activity	Country of main operations	Country of incorporation
Wasl Al Janoub Road Transportation Company- Limited Liability	SR 30 million	% 100	Road transportation of goods	Saudi Arabia	Saudi Arabia





GOVERNANCE

5 GOVERNANCE



Mr. Waleed AbdulRahman
Abdullah Al Mousa

Chairman of the Board



Mr. Fahd Abdullah
Abdulaziz Al Rajhi

Vice Chairman



Mr. Abdulsalam Abdullah
Abdulaziz Aldraibi

Member and CEO



Mr. Waleed Ahmed
Mohammed Bamarouf

Member



Mr. Ali Hussain
Berman Al Yami

Member



Mr. Majed Ali Hussain
bin Musallam

Member



Dr. Ahmed Sirag
AbdulRahman Khogeer

Member



Mr. Abdulhadi Hadi
Mohammed Aldohan

Member



Mr. Ziyad Ibrahim
Abdullah Aljared

Member

5.1. Composition of the Board of Directors

S.No	Name	Position	Membership classification
1	Mr. Waleed Abdulrahman Abdullah Al Mousa	Chairman of the Board of Directors	Non-Executive
2	Mr. Fahd bin Abdullah bin Abdulaziz Al Rajhi	Vice Chairman of the Board of Directors	Non-Executive
3	Mr. Abdulsalam bin Abdullah bin Abdulaziz Aldraibi	Member	Executive
4	Mr. Waleed bin Ahmed bin Mohammed Bamarouf	Member	Non-Executive
5	Mr. Ali bin Hussein bin Berman Al Yami	Member	Independent
6	Mr. Majed bin Ali bin Hussain bin Musallam	Member	Independent
7	Dr. Ahmed bin Siraj bin Abdulrahman Khogeer	Member	Independent
8	Mr. Abdulhadi bin Hadi Mohammed Al Dohan	Member	Independent
9	Mr. Ziyad bin Ibrahim bin Abdullah Aljared	Member	Independent

5.2. Current roles, experience and qualifications of the Board of Directors

Najran Cement Company's Board of Directors is responsible for overall strategy and direction of Company's business. Najran Cement's Board of Directors consists of nine members appointed by the ordinary general assembly for a term of three years. Its three-year term began on 09-08-2022 and will end on 08-08-2025. Details of the members with their current roles, qualifications and experience are shown in table below.

Name	Current functions	Previous Jobs	Qualifications	Experience
Mr. Waleed bin Abdul Rahman Al Mousa	-Chairman, Board of Directors Najran Cement. -Senior Manager of Investments and Board Member of Abdulrahman Al-Moosa Holding Company	- Manager, Global Structured Credit, Capital Markets at HSBC Bank Plc based in London - Deputy Treasury Risk Manage	- Executive MBA with specialization in Finance & Entrepreneurship - B.Sc in Economics with Honors from Queen Mary University of London, UK - Holds several certifications in Securities, Derivatives, Risk and Valuation	- Over 22 years' experience in banking and investments, mergers acquisitions, Corporate Turnaround with sound knowledge of setting family offices, setting strategy and procedures, corporate governance and succession planning, next generation employment.
Mr. Fahd bin Abdullah Al Rajhi	-Vice Chairman of Najran Cement Company -Chairman of Fahad Al Rajhi Holding Company	- General Manager of Treasury and Financial Institutions Group in Al Rajhi Banking Company	- Bachelor of Science in Industrial Management	- More than 24 years of experience as Board member of several joint stock Companies

Name	Current functions	Previous Jobs	Qualifications	Experience
Mr. Abdul Salam bin Abdullah Al-Draibi	-Chief Executive Officer, Najran Cement Company - Managing Director, Wasl Janub Land Transportation Company	- Senior Investment Manager at Savola Group - Assistant Director - Swicorp Investment Banking - Financial Analyst - Swicorp Investment Banking - Financial Analyst in Riyadh Capital Asset Management	- MBA from University of Seattle, USA - Chartered Financial Analyst (CFA) - B.S - Management Information System from King Fahad University of Petroleum and Minerals, Dhahran	- More than 15 years of experience in senior-level position and executive positions, member of Board of Directors and several committees, project management and business development, mergers and acquisitions, investment management, improving operational efficiency and efficiency of capital allocation, in addition to many training courses.
Mr. Waleed bin Ahmed Mohammed Bamarouf	- Certified Public Accountant, Accredited Business Valuer, Bankruptcy Trustee and Audit Partner with Talal Abu-Ghazaleh & Company.	CFO in Al Ahli Takaful Company	- Fellowship of the American Institute of Certified Public Accountants (CPA) - Certified Management Accountant (CMA) - Saudi Society of Certified Public Accountants (SOCPA) - Certified Internal Auditor Fellowship (CIA) - Accredited Business Valuator (ABV) - Executive MBA	- More than 11 years of experience as member of Boards of Directors and Audit Committees of several Joint Stock Companies - Over 25 years' experience in accounting, auditing, compliance and corporate governance .
Mr. Ali bin Hussein Borman Al Yami	- Chairman of the Board of Directors of Ali Hussein Al-Yami Company and Al-Burman Trading Enterprises Company and Group	Chairman of Borman & Kano Mining Company	- Bachelor of Business Administration - Diploma in Public Relations - Diploma in Management - Diploma in Accounting	- Many honorary posts as well as many national and commercial committees and associations -Chairman of the Board of Directors and member of several companies for more than 40 years
Mr. Majed Ali Hussain bin Musallam	- Member of the Board of Directors of Al Masane Al Kobra mining Company. -Member of the Board of Directors of Al Salam Aerospace Company	Member of Board of Directors in SCAB Group Company	-BBA from King Abdulaziz University, Jeddah	- More than 16 years of experience in real estate, aviation and mining sectors
Dr. Ahmed Siraj Abdulrahman Khogeer	Part-time consultant and member of the Board of Directors of many international companies and councils	- Senior Engineer at Saudi Aramco Projects, KAUST Project Management. -Head of Petrochemical Fuels at the American Institute of Chemical Engineers	-PhD in Chemical Engineering from Colorado State University, USA -MBA from Colorado State University, USA -MSc in Chemical Engineering from University of Tulsa, USA -The first Arab to hold fellowship in Chemical Engineering -Fellowship of the Council of Engineers, Texas, USA -Postgraduate certificate in advance financial investments and finance -Certified project manager (PMP) -Certified international Arbitrator	- 32 years' experience with Saudi Aramco in Refinery Departments, Facilities Planning, Research and Development, and Mega Project Management. - Advisor to Senior management and founding member of King Abdullah University of Science and Technology - Held leadership positions at the American Institute of Chemical Engineers as the first person in history from outside America
Mr. Abdulhadi Hadi Mohammed Aldohan	- Businessman and consultant for some foreign companies	-Director, General Authority for Investment, Riyadh Region	BBA	More than 21 years of experience in leadership positions in the banking sector, food and beverage sectors
Mr. Ziyad Ibrahim Abdullah Aljared	GM, Ibrahim Al Jared Trading Establishment	- Acting Director of the Maritime Transport Department for Planning and Scheduling at SABIC. - Executive Shipping Representative of the Petrochemical and Ammonia Gas Tanker Department at SABIC. - General Manager at DAMA Arabia Trading Establishment	-BBA from King Abdulaziz University	Having more than 17 years' experience in administration and operational areas of private and public sector Companies and membership in Board of Directors of several private Companies

5.3. Committee members (outside Board of Directors)

Below are the details of Committee members (outside the board), their roles, qualifications and current experience:

Name	Current functions	Previous Jobs	Qualifications	Experience
Mr. Abdulelah bin Nasser Al-Haroura <i>(Audit Committee member)</i>	- Head of Accounting and Financial Control Department at Banque Saudi Fransi, Jeddah. - Member of the Audit Committee of NCB Capital.	- Executive Vice President, Head of Financial Accounting, National Commercial Bank - Senior Revenue System Analyst, Partners Healthcare System Inc, Boston, USA	-Master of Finance from Northeastern University, USA -Bachelor of Science in applied Chemical Engineering, King Fahd University, Dhahran	- Having more than 17 years' experience in financial/ banking sector and held many leading positions in Private and Nationalized banks. -Having 6 years' experience in healthcare industry in USA where his last position was Senior Revenue Analyst in a US firm. - Having more than 6 years' experience in several non-Executive positions as Board or Committee members
Mr. Nabeih Fakhri Zarie Al Jehan <i>(Audit Committee member)</i>	- Chief Financial Officer of Roots Group Arabia (RGA), Jeddah - Member of the American Institute of Certified Accountants. - Member of Joint Stock Companies in Jeddah Chamber of Commerce and Industry - Member of the Board of Directors of Qatrana Cement Company in Jordan. - Member and Chairman of the Audit Committee at Ahli Takaful. - Member of Board of Directors and Chairman of Audit Committee – Ready Mix Concrete Supply Company	-Deputy CEO for financial Affairs in Arabian Cement Company, Jeddah -Financial Controller/Deputy Director of Finance -International Airports Projects, Jeddah - Group Finance Manager, Saudi Cable Company, Jeddah	- Certified Public Accountant (CPA). - Master of Science in Accountancy from University of Illinois, USA	Having more than 27 years' experience in the field of accounting, finance, corporate governance, management, planning and leadership in reputable organizations. Also holds membership in Board of Directors and Committees of several Joint Stock Companies.

5.4. Names of the companies within and outside the Kingdom in which the member of the Board of Directors of the company is a member of its current or former Boards of Directors member or its directors

Name	Names of companies that are members of the Board of Directors as members of their current boards of directors or their directors	Within the Kingdom / outside the Kingdom	Legal entity (listed contribution / unlisted contribution / limited liability /)	The names of the companies that the members of the Board of Directors are members of the previous administrations or directors	Within the Kingdom / outside the Kingdom	Legal entity (listed contribution / unlisted contribution / limited liability /)
Mr. Waleed bin Abdul Rahman Al Mousa	Abdulrahman bin Abdullah Al Mousa Holding Company	KSA	Unlisted	-	-	-
Mr. Fahd bin Abdullah bin Al Rajhi	Raysut Cement Company Albaraka Turkish Bank	Outside Outside	Listed Listed	-Tabuk Agricultural Development Company -Osool & Bakheet Investment Company	KSA KSA	Listed Limited liability
Mr. Waleed bin Ahmed Mohammed Bamarouf	-	-	-	-Rabigh Refining & Petro-chemical Company -Yanbu National Petrochemical Company (YANSAB) - Etihad Atheeb Telecom	KSA KSA KSA	Listed Listed Listed
Mr. Ali bin Hussein bin Borman Al Yami	- Ali Hussain Al Yami and Partners - Binary Support Company - Yale Arabia Company for Industry, Trade and Contracting - Oceans Marine Company Ltd - Brias Company for designing Computer systems and communication devices	KSA KSA KSA Outside Outsid	Limited Liability Limited Liability Limited Liability Partnership Limited Liability	- Borman & Kano Mining Company -The Egyptian Saudi Company for Development and Investment Projects	KSA Outside	Limited Liability Partnership
Mr. Abdulsalam Aldraibi	Al Masane Al Kobra Mining Company Wast Janub Land Transportation	KSA KSA	Listed Limited Liability	-	-	-
Mr. Majed Ali Hussain bin Musallam	Al Masane Al Kobra Mining CO	KSA	Listed	-	-	-
Dr. Ahmed Siraj Abdulrahman Khogeer	- Gulf General Cooperative Insurance Company -Naseej International Trading Company	KSA KSA	Listed Listed	-	-	-
Mr. Abdulhadi Hadi Mohammed Aldohan	-	-	-	-	-	-
Mr. Ziyad Ibrahim Abdullah Aljared	- Abdullah Al Jared Trading Company Ltd - New Dimension Company	KSA KSA	Limited Liability Limited Liability	-	-	-

5.5. A description of any interest, contractual securities or rights issue of Company's Board of Directors, Senior Executives and their relatives on Company shares or debt instruments of the Company or its subsidiaries, and any change in such interest or rights during the last financial year

a. The interests and rights of the members of the Board of Directors

Sr.No	Name of person	Number of shares beginning of year	Number of shares end of year Number of shares	Net change	Percentage change
1	Mr. Waleed bin Abdul Rahman Al Mousa	1,000	1,000	0	0
2	Mr. Fahd bin Abdullah Al Rajhi	32,036	32,036	0	0
3	Mr. Waleed bin Ahmed Bamarouf	2,000	2,000	0	0
4	Mr. Ali bin Hussein bin Borman Al Yami	10,000	10,000	0	0
5	Mr. Abdulsalam Aldraibi**	20,000	20,000	0	0
6	Mr. Majed Ali Hussain bin Musallam	5,000	5,000	0	0
7	Dr. Ahmed Siraj Abdulrahman Khogeer	5	5	0	0
8	Mr. Abdulhadi Hadi Mohammed Aldohan	1,000	1,000	0	0
9	Mr. Ziyad Ibrahim Abdullah Aljared	36	36	0	0

b. The interest and rights of senior executives

Sr.No	Name of person	Number of shares beginning of year	Number of shares end of year Number of shares	Net change	Percentage change
1	Mr. Abdulsalam Aldraibi*	20,000	20,000	0	0

**Mr. Abdulsalam Aldraibi is a member of the Board and CEO.

5.6. Information related to any business or contract to which the company is a party and in which a Director, Senior Executive or any person related to any of them has any interest in it

Related party	Relationship	Transaction	Duration	Value (SR 000")
Yaal Al Arabya Company for Industry, Commerce and Contracting Ltd	Mr. Ali bin Borman Al Yami - Partner and member of Board of Directors	Sale of cement	One year	53,96

5.7. A brief description of the roles and duties of Committees

a. Audit Committee

The audit committee consists of non-executive Board members and members from outside the Company and their tasks in working with the Company's executive management can be summarized; to ensure the accounting system conforms to the accounting and financial standards; study and review the internal control systems; review the interim and annual financial statements of the Company and recommend the selection of auditors. The Company has appointed an advisory body to carry out internal auditing and performance evaluation of the various departments and to submit its reports to the Audit Committee periodically.

The Committee convened 04 times during 2023. Table below shows the attendance record of Audit Committee during 2023.

Sr.No	Name	Position	(1) 05-03-2023	(2) 15-05-2023	(3) 31-07-2023	(4) 07-11-2023
1	Mr. Waleed bin Ahmed Mohammed Bamarouf	Chairman	√	√	√	√
2	Mr. Ziyad Ibrahim Abdullah Aljared	Independent member	√	√	√	√
3	Mr. Abdulelah Nasser Al Haroura	Independent member	√	√	√	√
4	Mr. Nabeih Al Jehani	Independent member	√	√	√	√

b. The recommendation of the Audit Committee regarding the need to appoint an internal auditor in the company if there is no internal auditor

The Company has engaged an external auditing firm to carry out internal audit of the Company.

c. The recommendations of the Audit Committee which are inconsistent with the decisions of the Board of Directors, or rejected by the Board regarding appointment, dismissal, determining fees of external auditor with justifications for those recommendations

There are no recommendations from the Audit Committee in which it contradicts the decisions of the Board of Directors, or the Board has refused to take action relating to the appointment, dismissal, determination of fees and performance evaluation of Company's external auditor or the appointment of internal auditor.

d. Executive Committee

The primary purpose of the Executive Committee is to assist the Board in performing activities and tasks as delegated to it by the Board of Directors to facilitate smooth operations of the Company. Other major tasks of the committee include – assisting the Board in defining and setting the vision and mission for the Company; formulate strategies, policies and general objectives of the Company, review budgets and periodic reports submitted by the Chief Executive; review and approve investment decisions in line with Company's approved strategies; follow up the implementation of the decisions of the Board of Directors with the management of the Company.

The Executive Committee is composed of five members from the Board of Directors. The Committee has performed its duties and responsibilities through 04 meetings held during the year 2023. Table below shows the attendance of members in the Committee's meetings.

Sr.No	Name	Position	Number of meetings			
			(1) 30-03-2023	(2) 05-07-2023	(3) 04-10-2023	(4) 21-12-2023
1	Mr. Majed Ali Hussain bin Musallam	Chairman	✓	✓	✓	✓
2	Mr. Waleed bin Abdul Rahman Al Mousa	Member	✓	✓	✓	✓
3	Mr. Ali bin Hussein bin Borman Al Yami	Member	✓	✓	✓	✓
4	Mr. Abdulsalam Adullah Aldraibi	Member	✓	✓	✓	✓
5	Mr. Abdulhadi Hadi Mohammed Aldohan	Member	✓	✓	✓	✓

e. Nomination & Remuneration Committee

The committee's main tasks are to set clear policies and standards for membership of the Board and Executive Management; prepare policies for remunerations of the Board members, Board Committees and the Executive Management; evaluate performance, propose rewards and compensations to the Board members and Senior Executives; study the strengths and weaknesses of the Board, propose solutions to address them; review human resources policies and procedures and provide recommendations to the Board. In addition, the Committee periodically reviews the remuneration policy, assessing its effectiveness in achieving the desired goals and recommends remuneration for members of the Board of Directors, its committees and the Senior Executives in accordance with the approved policy.

The Nomination and Remuneration Committee convened 04 times during 2023. Table below shows the attendance record of the Committee during the year.

Sr.No	Name	Position	Number of meetings			
			(1) 29-03-2023	(2) 21-06-2023	(3) 13-09-2023	(4) 13-12-2023
1	Dr. Ahmed Sirag Abdulrahman Khogeer*	Chairman	√	√	√	√
2	Mr. Fahad Bin Abdullah Al Rajhi	Member	√	√	√	√
3	Mr. Waleed Bamarouf	Member	√	√	√	√
4	Mr. Ziyad Ibrahim Abdullah Aljared*	Member	√	√	√	√

5.8. The means used by the Board to assess its performance, performance of its committees' members and the external body which conducted the assessment and its relation with the Company, if any

The Nomination and Remuneration Committee has prepared a model for evaluating the performance of the Board of Directors and its committees internally without seeking assistance of external party. The members of the Board participated in the evaluation process and gave their opinions. The results are analyzed by the Nomination and Remuneration Committee and submit their recommendations to the Board of Directors.

5.9. Executive Management

Details of Executive Management, their current roles, qualifications and experience are shown below.

Name	Current functions	Previous Jobs	Qualifications	Experience
Mr. Abdul Salam bin Abdullah Al-Draibi*	Chief Executive Officer. Managing Director, Wasi Janub Land Transportation Company	- Senior Investment Manager at Savola Group - Assistant Director - Swicorp Investment Banking - Financial Analyst - Swicorp Investment Banking - Financial Analyst in Riyadh Capital Asset Management	- MBA from University of Seattle, USA - CFA - B.S - Management Information System from King Fahad University of Petroleum and Minerals, Dhahran	More than 16 years of experience in senior-level position and executive positions, member of Board of Directors and several committees, project management and business development, mergers and acquisitions, investment management, improving operational efficiency and efficiency of capital allocation, in addition to many training courses.
Engr. Muayad Matar Suleiman	Vice President Operations	- Regional Manager (Lafarge) - Production and Technical Manager (Atbara Cement Company, Sudan) - Technical Advisor - Yanbu Cement Company - Quality Manager - Jordan Cement Company	- Bachelor Engineering Degree in Chemical & Metallurgical Sciences	Having extensive career in the cement industry. Before joining NCC, he was working with Yanbu Cement Company as Technical Consultant
Mr. Ataa Abdulqader Saleh Bakkar	Vice President Commercial Affairs	CEO – Lafarge Holcim Global Gypsum Co National Sales Manager – Lafarge – Saudi Arabia (Al Safwa)	MBA (Marketing) Bachelors Degree in Chemical Engineering	Having more than 21 years' experience in managing industrial plant, marketing, planning, commissioning, stabilization and optimization.
Mr. Saeed Al Hareth Al yami	Vice President, HR & SS	- Senior Manager, HR, Najran Cement - Manager, Human Resources, Najran Cement	- MBA - Bachelor degree in public administration	More than 18 years' experience in leadership and supervisory roles in Human Resources and Support Services functions. Currently member of several Committees in Najran Region including Saudization, Mining and Investment Committees.
Mr. Rami Jawad Mahmoud Abu Jneid	CFO since 28 Dec 2022	- Finance Manager, Arab Media Network - Senior Chief Accountant, Al-Sadaf for Sonic & Visual Production - Financial Controller, Arabian Packaging Co Sahari pack - Senior Manager-Accounting & Finance Department, Al Khabeer Capital Group - Finance Director, Al-Mahmal Facilities Services, SEDCO Group - Financial Controller, Najran Cement	- Master's Degree in Accounting from Arab Academy for financial & banking sciences - Bachelor's degree in accounting from Zarka Private University	More than 23 years' experience in the field of accounting, financial management and reporting.

5.10. Number of meetings of the Board of Directors held during the last financial year, dates of meeting, attendance record of each meeting listing the names of the attendees

The Company is managed by a Board of Directors consisting nine members. The Board of Directors holds at least four meetings every year to review Company's progress in implementing strategic decisions, initiatives and achievements. During 2023 four meetings were held and the table below shows the attendance record of Board of Directors' in the meeting.

Sr.No	Name	Number of meetings			
		(1) 09-04-2023	(2) 12-07-2023	(3) 11-10-2023	(4) 27-12-2023
1	Mr. Waleed bin Abdul Rahman Al Mousa	✓	✓	✓	✓
2	Mr. Fahd bin Abdullah Al Rajhi	✓	✓	✓	✓
3	Mr. Waleed bin Ahmed Bamarouf	✓	✓	✓	✓
4	Mr. Ali bin Hussein bin Borman Al Yami	✓	✓	✓	✓
5	Mr. Abdulsalam Abdullah Aldraibi	✓	✓	✓	✓
6	Mr. Majed Ali Hussain bin Musallam	✓	✓	✓	✓
7	Dr. Ahmed Siraj Abdulrahman Khogeer	✓	✓	✓	✓
8	Mr. Abdulhadi Hadi Mohammed Aldohan	✓	X	✓	✓
9	Mr. Ziyad Ibrahim Abdullah Aljared	✓	✓	✓	✓

5.11. Statement of the dates of the General Assembly meetings held during the last fiscal year and the names of the Board Directors who attended

Annual General Assembly of the Company was held on 11 April 2023 at Company Headquarters in Najran.

Table below shows the attendance record of Board members in the General Assembly:

Sr.No	Name	11-04-2023
1	Mr. Waleed bin Abdul Rahman Al Mousa	✓
2	Mr. Abdulsalam Abdullah Aldraibi	
3	Mr. Fahad bin Abdullah Al Rajhi	✓
4	Mr. Waleed bin Ahmed Mohammed Bamarouf	✓
5	Mr. Ali bin Hussein bin Borman Al Yami	✓
6	Mr. Majed Ali Hussain bin Musallam	✓
7	Dr. Ahmed Siraj Abdulrahman Khogeer	✓
8	Mr. Abdulhadi Hadi Mohammed Aldohan	✓
9	Mr. Ziyad Ibrahim Abdullah Aljared	✓

5.12. The number of Company's requests for Shareholders records, dates and reasons of such applications

During the fiscal year 2023, the Company's Investor Relationship Department requested shareholders records two times through Tadawulaty service for reasons mentioned below:

Number of Company's applications for the register of shareholders	Date of application	Reasons for request
1	27 Feb 2023	Corporate action
2	11 Apr 2023	AGM

5.13. Disclosure on remuneration of the Board members and Executive Management in accordance with Article (93) of Corporate Governance Regulations

a. Board of Directors' remuneration policy

i. The Nomination and Remuneration Committee shall recommend to the Board of Directors the remuneration of the members of the Board of Directors. The General Assembly of the Company shall determine the remuneration of the members of the Board of Directors.

ii. Based on the recommendation of the Nomination and Remuneration Committee, the Board of Directors shall determine the remuneration to be paid to the Chairman of the Board in addition to the remuneration prescribed for the members of the Board of Directors.

iii. The remuneration of the members of the Board of Directors shall consist of financial or in-kind remuneration and benefits. In all cases, the total sum of one member shall not exceed Saudi Riyal five hundred thousand (SAR 500,000) annually. The annual remunerations shall be divided among members in case of new Board members (by date of appointment).

iv. The Board of Directors shall determine the remuneration of the Secretary of the Board of Directors for attending the meetings of the Committee and any other allowances.

v. Members of the Board of Directors who reside outside the cities where the meetings of the Council or the General Assembly are held shall be entitled to payment for all expenses incurred by them to attend meetings, provided that such expenses are reasonable and acceptable in accordance with business standards such as travel, meals, accommodation and other expenses which they have incurred.

vi. The remuneration shall be fair and proportionate to the terms of reference of the member and the duties and responsibilities carried out by the members of the Board of Directors, in addition to the objectives set by the Board of Directors to be achieved during the fiscal year. The remuneration shall also be commensurate with the Company's activity and the skill required to manage it.

b. Remuneration of Board's Committee Members

The Nomination and Remuneration Committee shall recommend to the Board of Directors the remuneration of members of committees emanating from the Board of Directors.

i. The General Assembly of the Company shall determine the remuneration of the members of the Audit Committee. The Board of Directors shall determine the remuneration of the members of the other committees of the Board, Board Secretary and Secretaries of the Committees for their attendance in the meetings of the committees and any other allowances.

ii. Members of the committees of the Board of Directors who reside outside the cities where the meetings of the Committee meet shall be entitled to pay all expenses incurred by them to attend meetings, provided that such expenses are reasonable and acceptable in accordance with business standards such as travel, meals, accommodation and other expenses which they have incurred.

iii. The remuneration shall be fair and proportionate to the terms of reference of the member and the duties and responsibilities of the members of the committees emanating from the Board of Directors. The remuneration shall also be commensurate with the activity of the company and the required skills of the members.

c. Remunerations of Senior Executives

i. The Nomination and Remuneration Committee shall recommend to the Board of Directors the remuneration of Senior Executives in the Company based on annual performance indicators and annual net profits of the Company. Annual bonus of Senior Executives is approved by the Board of Directors.

ii. The Company is committed to follow fair remuneration practices and standard benefits that will attract and reward qualified executives.

d. Directors' remuneration (In thousand Riyals) - Details of remunerations paid to the members of the Board of Directors during 2023 are:

Name	Fixed remunerations							Variable remunerations						End of Service Award	Aggregate Amount	Expenses allowance
	Specific	Allowance for attending Board meetings	Total allowance for attending	In kind benefits	Remunerations for technical, managerial and consultative work	Remuneration of Chairman, Managing Director and Secretary if a member	Total	Percentage of the profits	Periodic remunerations	Short term incentive Plans	Long term incentive plans	Granted shares (insert the value)	Total			
Independent members																
Mr. Salah Yaseen Khalil Allaf (previous member)	181	--	-	-	-	-	181	-	-	-	-	-	-	-	-	--
Mr. Ali bin Hussein bin Borman Al Yami	300	12	-	-	-	-	312	-	-	-	-	-	-	-	-	20
Dr. Ahmed Sirag Abdulrahman Khogeer	119	12	-	-	-	-	131	-	-	-	-	-	-	-	-	--
Mr. Majed Ali Hussain bin Musallam	119	12	-	-	-	-	131	-	-	-	-	-	-	-	-	--
Mr. Abdulhadi Hadi Mohammed Aldohan	119	12	-	-	-	-	131	-	-	-	-	-	-	-	-	--
Mr. Ziyad Ibrahim Abdullah Aljared	119	09	-	-	-	-	128	-	-	-	-	-	-	-	-	--
Total	957	57	-	-	-	-	1014	-	-	-	-	-	-	-	-	20
Non-Executive Directors																
Engr. Mohammed bin Mana Aballala (previous member)	181	--	-	-	121	-	302	-	-	-	-	-	-	-	-	-
Mr. Abdullah Al Wesaimer (previous member)	181	--	-	-	--	-	181	-	-	-	-	-	-	-	-	-
Mr. Fahd bin Abdullah Al Rajhi	300	12	-	-		-	312	-	-	-	-	-	-	-	-	-
Mr. Waleed bin Abdul Rahman Al Mousa	300	12	-	-	79	-	391	-	-	-	-	-	-	-	-	-
Mr. Waleed bin Ahmed Mohammed Bamarouf	300	12	-	-		-	312	-	-	-	-	-	-	-	-	-
Total	1262	36	-	-	200	-	1498	-	-	-	-	-	-	-	-	-
Executive Directors																
Engr. Ayman bin Abdul Rahman Al – Shibl (previous member)	181	--	-	-	--	-	181	-	-	-	-	-	-	-	-	-
Mr. Abdulsalam Abdullah Aldraibi	300	12	-	-	--	-	312	-	-	-	-	-	-	-	-	-
Total	481	12	-	-	--	-	493	-	-	-	-	-	-	-	-	-
Grand Total	2,700	105	-	-	200	-	3005	-	-	-	-	-	-	-	-	-

* Fixed remuneration of members shown above are for the year 2022 which was approved by the General Assembly on 11 April 2023 and disbursed during the year 2023.

e. Remunerations of Senior Executives (in thousand Riyals) – Remunerations paid to the Senior Executives during 2023 are:

Name	Fixed Remunerations	Variable Remunerations	End of service benefits	Total remunerations for Board Executives, if any	Aggregate amount
Five senior executives including CEO & CFO	4,769,750	1,931,700	--	--	6,701,450

f. Committee Members Remuneration (in thousand Riyals) - Remunerations paid to the Committee members during 2023 are:

Sr.No	Name	Fixed Remuneration (Except for the allowance for attending Board meetings)	Allowance for attending Board meetings	Total
Audit Committee**				
1	Mr. Waleed bin Ahmed Mohammed Bamarouf	150	15	165
2	Mr. Waleed bin Abdul Rahman Al Mousa (Previous member)	60	--	60
3	Mr. Abdulelah Nasser Al Haroura	100	12	112
4	Mr. Nabeih Fakhri Zarie Aljehani	100	12	112
5	Mr. Ziyad Ibrahim Abdullah Aljared	21	15	36
Total		431	54	485
Executive Committee***				
1	Mr. Salah Yaseen Khalil Allaf	45	--	45
2	Mr. Majed Ali Hussain bin Musallam	30	12	42
3	Mr. Waleed bin Abdul Rahman Al Mousa	50	12	62
4	Mr. Ali bin Hussein bin Borman Al Yami	50	12	62
5	Mr. Abdulsalam Aldraibi	50	12	62
6	Mr. Abdulhadi Hadi Mohammed Aldohan	20	12	32
7	Engr. Haider Al Hertani (previous external member)	30	--	30
Total		255	60	335
Nomination and Remuneration Committee***				
1	Mr. Waleed Bamarouf	65	12	77
2	Mr. Abdullah Bin Salim Al Wesaimer(previous member)	30	--	30
3	Mr. Ali bin Hussein bin Borman Al Yami(previous member)	30	--	30
4	Mr. Fahad Al Rajhi	50	12	62
5	Mr. Ahmed Siraj Abdulrahman Khogeer (member in new session)	30	12	42
6	Mr. Ziyad Ibrahim Abdullah Aljared(member in new session)	20	12	32
Total		225	48	273

· Fixed remuneration of members shown above are for the year 2022 which was approved by the General Assembly on 11 April 2023 and disbursed during the year 2023.

· All above mentioned remunerations of members of the Board of Directors and Executive Management are as per approved policies.

The members of the Board of Directors and Committees of the Board of Directors are entitled to the following remuneration:

* The Chairman of Board of Directors was granted an additional bonus of SAR 200,000 for his efforts in following up the Company's business for the fiscal year ended 31st Dec 2022.

** Members of the Audit Committee were granted a financial reward of SAR 100,000 per member and an additional SR 50,000 to the Chairman of Audit Committee for their contribution during the financial year ended 31st December 2022.

*** Members of the Board committees were granted a financial reward of SR 50,000 per member and an additional SR 25,000 to the Chairman of Committees for their contribution during the financial year ended 31st December 2022.

g. Allowance to attend meetings

Members of the Board of Directors and members of the committees (including members from outside the Board of Directors) shall receive a fixed financial remuneration of SAR 3,000 for attending meetings of the Board of Directors and its Committees.

5.14. The external auditor's report on the financial statements

The external Auditor has issued a qualified opinion on the financial statements for the year ended 31-12-2023.

Qualified Opinion

We have audited the consolidated financial statements of Najran Cement Company - a Saudi joint stock company (the "Company") and its subsidiary (collectively with the Company, the "Group"), which comprise the consolidated statement of financial position as at 31 December 2023, and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, except for the possible effects of the matters described in the Basis for Qualified Opinion section of our report, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2023, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are endorsed by the Saudi Organization for Chartered and Professional Accountants.

Basis for Qualified Opinion

1. As of 31 December 2023, the consolidated financial statements include 'property, plant and equipment' amounting to SR 2,030 million (2022: SR 1,963 million) and depreciation expense of property, plant, and equipment' amounting to SR 80.7 million (2022: SR 74.9 million) for the year then ended. The Group depreciates 'property, plant and equipment' using the declining balance method. It is however our assessment that the depreciation method has been applied incorrectly and the carrying value of 'property, plant and equipment', accumulated depreciation, retained earnings and the depreciation charge for the years presented are consequently incorrect.

We have requested from management, but have not been provided, an impact of the revised application of the depreciation calculated on the declining balance method. Consequently, we are unable to determine whether any adjustments are required to the consolidated financial statements as at and for the year ended 31 December 2023.

2. As mentioned in Note 10, the inventories balance as of 31 December 2023, includes consumable spare parts with a gross carrying value of SR 118 million. However, there are long-aged (slow moving) items included therein which form part of these consumable spare parts. We were unable to obtain sufficient audit evidence to conclude whether management's assessment of the provision for slow moving items is reasonable and were unable to determine whether any adjustments to the consolidated financial statements as at and for the year ended 31 December 2023 were necessary.

Management Comments:

The Company would like to clarify to its esteemed shareholders that with regard to the basis for qualified opinion No (1) by the external auditor, the Group has been using the declining balance method for depreciation since the start of its operation in 2007, and the company believes that it is applying it correctly in accordance with generally accepted accounting standards. Nonetheless, the company appointed a certified external accounting expert to review the depreciation method and confirm the validity of its application, and that study has not been completed. The company will take the necessary accounting action immediately upon completion of the review, if required.

Regarding the basis of qualified opinion No (2) by external auditor, the Company would like to clarify that it has appointed a specialized external technical company to study the condition of the company's consumable spare parts and determine any decline in its value. Based on the result of that study, the company has made sure to have sufficient provision as at the end of the year 2023. Thus, management believes that there is no need to make any additional provision in accordance with in accordance with generally accepted accounting standards.

The company assures its esteemed shareholders of its constant keenness to follow the best practices by applying internal policies and procedures prepared by specialized consulting companies, and reviewed periodically to ensure their effective implementation through independent consulting bodies.

5.15. Any penalty, penalty, precautionary measure or precautionary restriction imposed on the Company by the Authority or by any supervisory, regulatory or judicial authority.

/Penalty/Precautions Restrictions	Violation	Authority	Measures to treat and avoid violations in future
Fine of SR 5,000	Delay in submission of mining declaration	Ministry of Industry and Mineral Resources	Adherence to laid down rules/regulations

5.16. Results of the annual review of the effectiveness of the Company's internal control procedures

The internal auditor of the company submits periodic reports to the Audit Committee on operational, administrative and financial operations to verify the effectiveness of the internal control system and the periodic reports did not show any significant weakness in the internal control system of the Company.

The External Auditor assesses the internal control procedures as part of the Company's audit duties, where they are authorized to review all minutes of Board meetings, Board committees and internal audit reports.

5.17. Company declarations

Najran Cement Board of Directors according to the information available to it and based on the Company's auditor's report, current market data, as well as future indicators declares that:

(a) the account records have been properly prepared according to the accounting standards issued by the Saudi Organization for Certified Public Accountants.

(b) the system of internal control is sound in design and has been effectively implemented; and

(c) there are no significant doubts concerning the Company's ability to continue its activity.

(d) there are no substantial business or contracts in which the company is a party or in which there was an interest for a member of the Board of Directors and Senior Executives or for any person related to any of them during the fiscal year 2023 except for what was mentioned in this report on contracts and business with related parties.

(e) there is no penalty, sanction or precautionary restriction imposed on Najran Cement Company by the Capital Market Authority or any supervisory, regulatory or judicial authority - except for what is mentioned in this report.



CORPORATE GOVERNANCE

6 Corporate Governance

6.1 Provisions/items that do not apply to Najran Cement Company

- Najran Cement Company has not granted cash loan of any kind to its Board members or rendered guarantees for loans entered into by a Board member with third parties.
- Najran Cement Company has no interest in the class of voting shares held by persons (except for members of the Board of Directors, Senior Executives, their relatives) who have informed the Company of these rights.
- There are no classes and numbers for any convertible debt instruments, contractual securities, preemptive right or similar rights that have been issued.
- There are no rights, transfers, or underwriting under convertible debt instruments, contractual securities, underwriting notes, or similar rights issued or granted by the Company during the fiscal year.
- There are no arrangements or agreements whereby a member of the Company's Board of Directors or a Senior Executive waived any remuneration.
- There is no arrangement or agreement whereby a Shareholder of the Company waived any rights to dividends.
- There are no investments or reserves established for the benefit of the Company's employees.
- There is no recommendation from the Board of Directors to change the auditor before the end of the period for which they are appointed.
- The Company does not have any rights to transfer or subscribe under debt instruments convertible into shares.

6.2 A description of any redemption, purchase, or cancellation of any redeemable debt instruments and the value of such securities outstanding

The Company did not redeem, purchase or cancel any redeemable debt instruments.

6.3 Implemented and non-implemented provisions of Corporate Governance Regulations and justifications therefore

The Company has applied provisions of the Corporate Governance Regulations issued by the Capital Market Authority, except for the following provisions:

Article	Requirements	Reasons for non-implementation
Articles in corporate governance regulations of CMA		Reasons for non-implementation
	Article 37, Article 39 (e) & (f), Article 51 (c), Article 67, Article 68, Article 69, Article 82 (2) & (3), Article 84, Article 85 (1) & (4), Article 86 (3), Article 92	Guidance material to be applied in the future

COMPANY PERFORMANCE

7 Performance

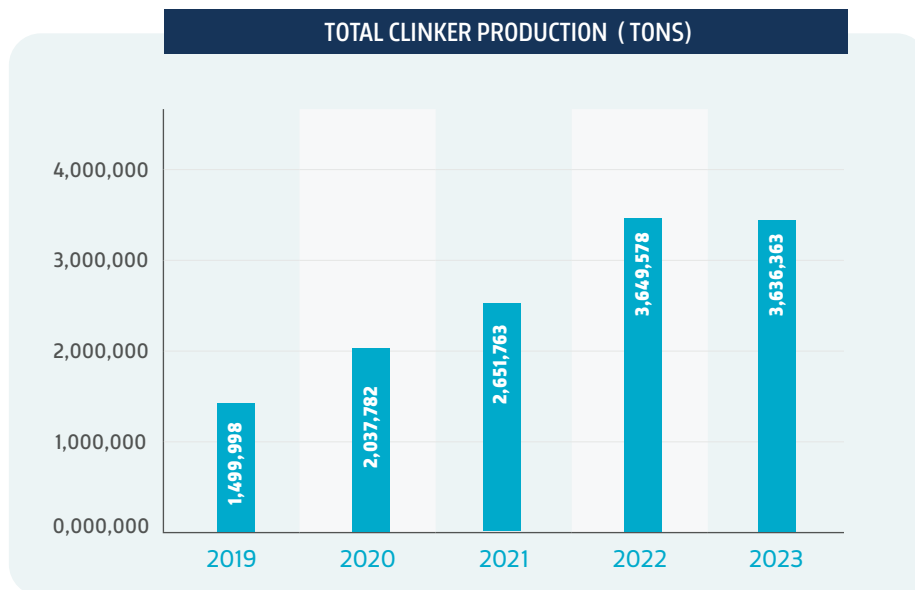
7.1. Operational performance

a. Clinker Production

The Company has three clinker production lines in its main factory with a total capacity of 15,500 tons per day and 5,115,000 tons annually. Total clinker production for the year 2023 touched 3,636,363 tons compared to 3,649,578 tons of the previous year. During 2023, the Company utilized only 71% of its production capacity due to low demand. Company's clinker inventory rose to 3,140,592 tons by end of the year compared to 1,996,297 tons of similar period in 2022.

Company having unutilized portion of production capacity for both clinker production and cement grinding which were not utilized during 2023 due to low demand. In addition, Company having sufficient clinker stock to meet any surge in demand.

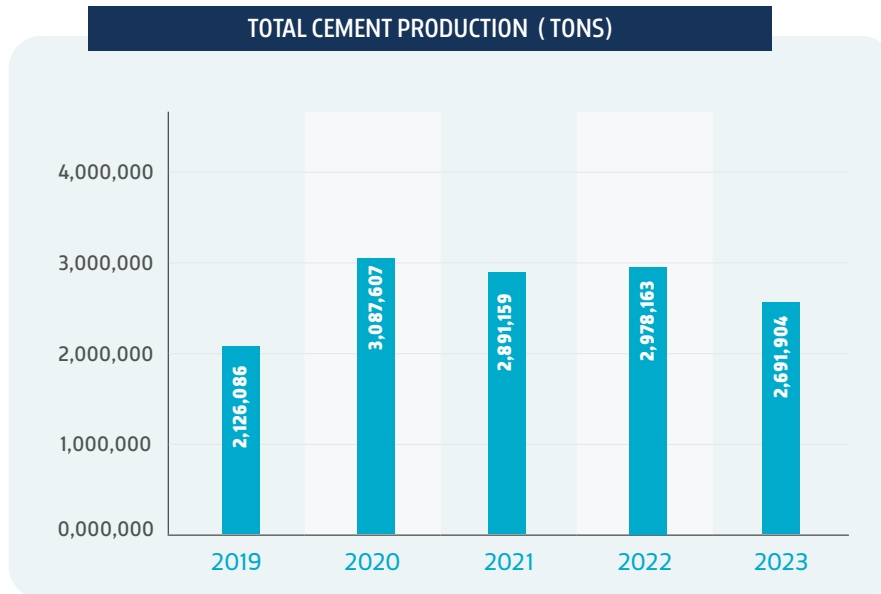
The following chart shows the company's total clinker production during the five years from 2019 to 2023 (Thousand tons)



b. Cement Production

Company having total cement grinding facility of 6,336,000 tons annually. During 2023 Company produced 2,691,904 tons of cement compared to 2,978,163 tons in 2022; dropped by 10%.

The following chart shows the company's production of cement during the five years from 2019 to 2023 (thousand tons).



c. Marketing and Sales

The cement sector in the Kingdom witnessed a downward trend during 2023 on the back of lower demand from residential sector and slowed mortgages market amid higher interest rates. Total sales in the cement sector went down by 7% in 2023 compared with previous year.

During the year 2023 the Company's total sales was 2,713,622 tons compared to 2,965,993 tons of cement in 2022; declined by 9% due to low demand.

Major part of the Company's cement sales went to cover the needs of the local markets and export to the Republic of Yemen. The Company has obtained license for cement export from the Ministry of Trade and Investment under license No 76848 dated 25-10-1444. During 2023, the Company exported 309,270 tons of cement to the Republic of Yemen which represents about 11% of the Company's total sales of the year.

The following chart shows the company's sales during the five years from 2019 to 2023.



7.2 Financial performance

a. Comparison of the Company's business results in the last five financial years

	2019	2020	2021	2022	2023
Revenue	416,406	623,197	581,553	535,686	485,651
Cost of Revenue	(297,192)	(373,279)	(351,234)	(364,919)	(343,220)
Gross Profit	119,214	249,918	230,319	170,767	142,431
S &D Expense, G&A and Fin Cost	(33,896)	(44,643)	(49,377)	(43,331)	(44,700)
Finance costs	(27,222)	(15,962)	(8,084)	(11,359)	(24,920)
Other Income/ (expenses)	1,566	1,294	(1,849)	3,352	2,775
Net profit (loss) before zakat	59,662	190,607	171,009	119,429	75,586
Zakat	(6,147)	10,333	(5,463)	(6,620)	(6,152)
Net (Loss)/Profit	53,515	200,940	165,546	112,809	69,434
Other Comprehensive Income	(604)	(1,058)	(644)	(1,266)	(964)
Total Comprehensive (Loss)/Income	52,911	199,882	164,902	111,543	68,470
Net (Loss)Income/share	0,31	1,18	0,97	0,66	0,41
Total Comprehensive (Loss)/income/share	0,31	1,18	0,97	0,66	0,41

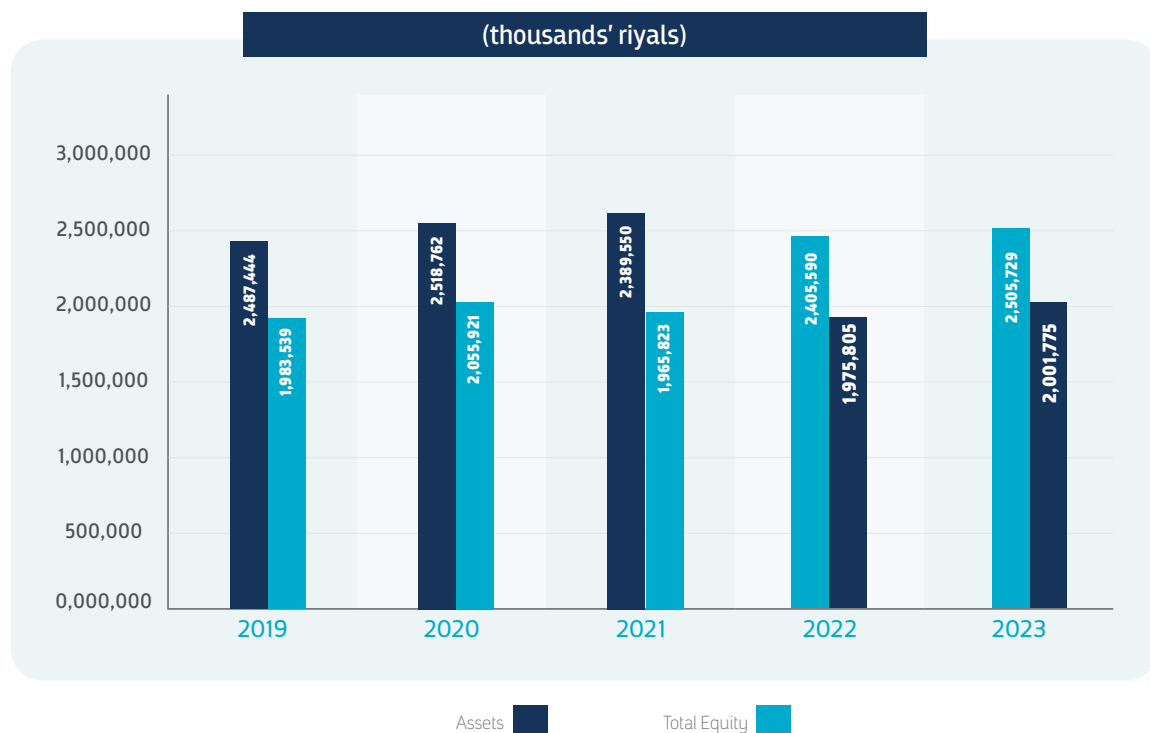
c. The following graph shows the comparison of Company's business results during five years from 2019 to 2023 (per thousand)



d. The Company's assets, liabilities and business results in the last five years

	2019	2020	2021	2022	2023
Current Assets	398,304	530,950	422,363	442,302	475,575
Non-current Assets	2,089,140	1,987,812	1,967,187	1,963,288	2,030,154
Total Assets	2,487,444	2,518,762	2,389,550	2,405,590	2,505,729
Current Liabilities	438,197	144,856	153,781	150,512	181,480
Non-current Liabilities	65,708	317,985	269,946	279,273	322,474
Total Liabilities	503,905	462,841	423,727	429,785	503,954
Shareholder's Equity					
Share Capital	1,700,000	1,700,000	1,700,000	1,700,000	1,700,000
Statutory reserve	108,411	128,841	145,396	156,677	163,620
Retained earnings	175,128	227,080	120,427	119,128	138,155
Total Equity	1,983,539	2,055,921	1,965,823	1,975,805	2,001,775
Total Equity and Liabilities	2,487,444	2,518,762	2,389,550	2,405,590	2,505,729

The following graph shows the development of assets and equity during the five years from 2019 to 2023 (thousands' riyals)



C. Explain significant differences in operational results compared to preceding year's results

	2023	2022	Variance	Percentage Change
Sales revenue	485,686	535,686	(50,035)	-9 %
Cost of revenue	(343,220)	(364,919)	21,699	-6 %
Gorss Profit	142,431	170,767	(28,336)	-17 %
Other Income/(expenses)	2,775	3,352	(577)	281 %
Operating expenses	(44,700)	(43,331)	1,369	3 %
Finance costs	(24,920)	(11,359)	13,561	119 %
Net profit before Zakat	75,586	119,429	(43,843)	-37 %
Zakat income (loss)	(6,152)	(6,620)	468	-7 %
Net profit (Loss) after zakat	69,434	112,809	(43,375)	-38 %
Other Comprehensive Income (Loss)	(964)	(1,266)	302	-24 %
Total Comprehensive income (loss)	68,470	111,543	(43,073)	-39 %

7.3. Geographical analysis of the total revenues of the Company

Company's business was mainly concentrated in the local markets of Southern Region and export to Yemen. Company having cement export permit from Ministry of Commerce and Investment issued under License No 76848 dated 25-10-1444. Cement export to Yemen contributed approx. 11% of total sales during the year 2023.

Geographical Area	2022		2023	
	Revenue (SR '000)	Percentage	Revenue (SR '000)	Percentage
Southern region	481,086	89%	361,428	75%
other regions and Export	54,600	11%	124,223	25%
Total	535,686	100%	485,651	100%

7.4 . Disclosure of the total indebtedness of the Company and any amounts paid by the Company for repayment of the loans for the year, amount of the principal debts, the name of the grantor, loan term and remaining amount (In thousand riyals)

S.No	Name of bank	Principal Amount (SAR)	Balance amount beginning of year	Loan Term	Paid during year	Balance amount	Total loan of the Company
1	Al Rajhi Bank*	278,500	278,500	7 years	42,846	235,654	235,654
2	Al Rajhi Bank **	80,000	--	6 years	--	80,000	80,000
3	Al Rajhi Bank***	35,000	--	6 Months	15,000	20,000	20,000
Total							335,654

*During 2022, the Group signed a new financing agreement for SR 278.5 million with Al Rajhi Bank to replace existing long-term facilities. The new financing facility will be repaid in seven years over 13 semi-annual instalments starting from May 2023.

**During the year 2023, the Group subsidiary signed new banking facilities (Tawarruq) agreement for SR 80 million with Al Rajhi Bank. This facility is repayable in six years over twelve equal semiannual instalments starting from September 2024

***During 2023, the parent Company utilized SR 35 million as a short-term facility for the general purposes of the Company which is repayable in during next 6 months.

7.5. Social contributions

The Company believes in positive role in the society where it operates. In addition, Company takes care of environmental safety and health of those in the vicinity of its operations. The Company is committed to apply the highest standards of environmental control in accordance with local and international regulatory standards. Towards this, the Company has installed environmental monitoring systems connected to the Internet in selected locations, which facilitates monitoring, follow-up and ensuring the safety of the environment surrounding its sites.

The Company contributes to the social services and licensed charitable organizations in Najran region where donations were made in cash and in kind to a number of charity and social activities under Company's approved social responsibility policy.

7.6. A statement of the value of the statutory payments due and payable on account of any zakat, taxes, fees or other charges, which have not been paid until end of the annual financial period with a brief description and reasons.

Details	2023		Details	Reasons
	Paid (SAR)	Amount due till end of financial year but not paid (SAR)		
Zakat	6,025,888	8,029,902	The Company is subject to the regulations of the General Authority for Zakat and Income	Due amount to be paid in April 2024
VAT	14,618,192	3,026,639	The Company is subject to the regulations of the General Authority for Zakat and Income	Due amount to be paid in Jan 2024
GOSI	8,260,444	723,478	The Company is subject to social insurance system.	Due amount to be paid in Jan 2024
Cost of Visa & Passport	2,089,985	--	Fees for employee's residence permits, exit and re-entry visas.	
Royalty	27,035,350	28,671,238	The royalty on the raw materials extracted from the company's site	Due amount to be paid after submitting the audited annual mining declaration report

RISK AND FUTURE OUTLOOK

8 Risk and Future Outlook

8.1. Information about any risks the Company faces (whether operational or financing risks or market risks) and the policy for managing and monitoring these risks

The Board of Directors is exerting all efforts to establish strong foundations to support the Company in carrying out its operations, developing resources and expanding activities. Company's risk management system aims to protect strategic objectives and activities, commitment to follow provisions of Corporate Governance regarding risk management and disclosure, increase efficiency of management, seize opportunities to increase value of Company assets and profitability in the long run. The Board of Directors, according to the information available to it, confirms that there is no doubt about the Company's ability to continue its activities.

Potential risks which may affect Company's future plans include but not limited to - increase in fuel prices supplied by ARAMCO, expansion of production capacity by existing Companies, entry of new competitors, pricing competition due to high clinker inventory and lower demand, higher freight and transport costs, higher costs and fees for expatriates' employment, higher export costs, political conditions in Najran border.

Company finances its operations through equity and management of working capital with a view to maintaining an appropriate mix between various sources of finance to minimize risk. Taken as a whole, the Company is exposed to market risk, credit risk and liquidity risk:

a. Market Risk.

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprise three types of risk namely:

i. Profit rate risk Profit rate risk is the risk that the fair value of future cash flows of the financial instruments will fluctuate because of changes in market profit rates. The Company mitigates its risk against exposure through focusing on maintaining bank balances. As of the statement of financial position date the Company is exposed to profit rate risk on its borrowings.

During 2023 and 2022, the Group's borrowings at variable rate were denominated in SAR. The Group analyses the interest rate exposure on a quarterly basis. A sensitivity analysis is performed by applying a simulation technique to the liabilities that represent major interest-bearing positions. Various scenarios are run taking into consideration refinancing, renewal of the existing positions, alternative financing and hedging.

ii. Currency risk Currency risks arises from the possibility that changes in foreign exchange rates will affect the value of financial assets and liabilities denominated in foreign currencies. The Group does not believe that it is materially exposed to currency risk as the majority of Company's transactions and the balances are denominated in Saudi Riyals or in US Dollars. US Dollar rate is fixed with the Saudi Riyal. Certain transactions are in Euros, but these are not material.

iii. Other price risk. Other price risk is that the fair value of future cash flows of the financial instruments will fluctuate because of changes in market prices. The Group is not exposed to any other risks.

b. Credit Risk.

Credit risk is that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Company's credit risk is primarily attributable to its liquid funds and receivables. Cash balances are deposited with major banks with good credit standings. Whilst a small number of customers account for a significant portion of both revenues and accounts receivable balances. These customers have provided appropriate guarantees ensuring that their debts will be recoverable. All major customers are high profile customers with the Kingdom of Saudi Arabia and there is no reason to suggest that there will be a loss of revenue from these sources.

c. Liquidity Risk.

Liquidity risk is the risk where the Company will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from an inability to sell financial assets quickly at an amount close to its fair value. Liquidity risk is managed by monitoring on a regular basis that sufficient funds are available. The concentrations of liquidity risk may arise from the repayment terms of financial liabilities, sources of borrowings or reliance on a particular market in which to realize liquid assets.

8.2. A description of the Company's significant plans and decisions (including changes to the structure, expanding the company's operations or halting them) and the future expectations

a. Capital Projects

To minimize the dependency on third party logistic Companies, the Group had established a fully owned subsidiary Company (Wasl Janub Land Transportation Company) during Oct 2021 under commercial registration No 5950119264 issued by the Ministry of Commerce. During 2023, the Company added 170 new trucks in its fleet and as of now the subsidiary having 270 trucks. All these trucks are in operation and utilized to meet the internal transportation requirements of the Group. The Group has also plan to acquire additional trailers/bulkers during 2024 to meet the rising demand in cement as well as raw materials transportation required for production.

b. Operations

Company having three Clinker production lines with a total capacity of 15,500 tons per day and 5,115,000 tons annually. Considering the mega projects under "Vision 2030", positive outlook on cement sector driven by sustainable economic growth and housing demand, the Company expects that the Government will increase its spending on infrastructure which will have a positive impact on cement demand in the coming months. The Company has enough stock of Clinker to meet any sudden surge in the cement demand. In addition, two of its production lines will be in operation during 2024. Unutilized portion of clinker production as well as / cement grinding facilities of the Company are well maintained and ready to operate in short span of time in case of any sudden surge in market demand.

c. Saudization Program.

Najran Cement Company realizes the importance of its human resources as its most important asset. The Company gives priority in maintaining and developing its human resources by providing a supportive work environment for learning, creativity and continuous career development. The Company has developed training plan for its employees and conducting individual development program for Saudi technical employees so that they can assume larger roles in the future through specialized training programs and work plans based on annual performance and skills evaluation. For this, the Company has adopted the methodology of objectives and key performance indicators at the level of departments and employees and linked them to the annual performance appraisal system in order to help them to achieve the goals. The company is also constantly keen to provide administrative and technical training through its annual training plan, which includes technical and administrative programs, specialized workshops and English language courses, which contribute in improving and developing the performance of Saudi employees and upgrade the level of their technical skills.

The company has also adopted the “Your Voice is Heard” within a set of work environment initiatives that aim to improve and develop the internal work environment as the Company is keen to provide an attractive and stimulating work environment aimed at enhancing employee participation and improving their motivation to work. This comes through indicators that contribute to raising the level of transparency in the work environment and in communicating the opinion of employees which reflects positively on their productivity and institutional affiliation to achieve the aspirations and goals of the Company for future.

The Company beliefs in the directions of the wise leadership in achieving Vision 2030. The Company has paid great attention to the localization of jobs as a solid approach to achieve its future plans, as the company continues the journey of success in achieving its goals by maintaining its position in the Saudization program in platinum category under the Nitaqat program. The job sustainability of employees is one of the most important key performance indicators that the Human Resources Department is keen to measure and maintain to ensure the effectiveness and quality of Saudization programs.

Social and Environmental Responsibility.

a. Green Initiative.

As part of the green initiative program, the Company has installed a waste heat recovery-based power plant which helps the Company to reduce the CO2 emissions and also save fuel used in the production facilities. This Plant is fully operational and generates 25% of total power requirement of the factory with low cost.

Najran Cement Company is committed to minimize the emissions from its production facilities. Towards this, the Company has installed online monitoring system for continuous monitoring of emissions from its production facilities.



THE RIGHTS OF SHAREHOLDERS

9 Rights of Shareholders

9.1. Shareholders' proposals and observations regarding the Company and its performance

The Board of Directors shall be notified, through the Chairman of the Board, of the shareholders' proposals and their notes regarding the Company and its performance, or any other proposals. Note that the Company provided several channels to communicate with shareholders on its website.

9.2. A description of the Company's dividend distribution policy

The net annual profits of the Company shall be distributed after deducting all the general expenses and other costs, including Zakat, which are legally imposed as follows:

- a. (10%) of the net profits shall be set aside to form the statutory reserve of the Company. The Ordinary General Assembly may decide to discontinue such reserve when the reserve reaches (30%) of the paid-up capital.
- b. The Ordinary General Assembly, based on the proposal of the Board of Directors, shall determine the percentage of net profits to form an additional reserve for benefit of the Company.
- c. The Ordinary General Assembly may decide to allocate other reserves, to the extent that serves Company's interests or ensures distribution of fixed profits as much as possible to the shareholders. The said assembly may also deduct from the net profits such amounts for setting up of or providing aid to existing social institutions for the Company's employees.
- d. The remaining profits shall be distributed to the shareholders at a rate that represents 1% of Company's paid-up capital.
- e. Subject to the provisions stipulated in Article (twenty-sixth) of Bylaw and Article 76 of the Companies Law, 10% percentage of the remainder shall be allocated to the remuneration of the Board of Directors after distribution to the shareholders of profits not less than 5% of the Company's paid-up capital, provided that the entitlement to this bonus is proportional to the number of meetings attended by the member.
- f. The Ordinary General Assembly, based on the proposal of the Board of Directors, to take the appropriate decision regarding the remaining profits, in a manner that does not conflict with the decisions and instructions issued by the competent authorities in this regard.
- g. The Company may distribute interim dividends (quarterly or biannual) to its shareholders after fulfilling the statutory requirements.

9.3. Payment of shareholders' equity

The dividends to be distributed to the shareholders in the place and the dates determined by the Board of Directors shall be paid in accordance with the instructions issued by the Ministry of Commerce and Investment and the Capital Market Authority.

The Company's Board of Directors decided not to recommend paying dividends for the year 2023. This is to support and strengthen Company's financial position to achieve its business growth strategy as the Company invested to increase the size of its subsidiary's fleet size and operation during 2023. Fleet size of the subsidiary increased nearly double compared to previous year which will support the operations of the parent Company in coming years.

Conclusion:

In conclusion, the Board of Directors of the Najran Cement Company - after thanking Allah, the Almighty- extends its thanks and appreciation to the Custodian of the Two Holy Mosques King Salman Bin Abdulaziz Al Saud and HRH Crown Prince Mohammed Bin Salman Bin Abdulaziz Al Saud, for their care and support for the industrial sector in general and the cement industry in particular, and to all governmental and semi-governmental agencies for their support and enabling the company to perform its work smoothly and easily, which enabled the company to contribute to supporting the construction sector and infrastructure projects in our beloved country. The Board also extends its thanks and gratitude to the shareholders, all the company's employees, and all the company's partners, including suppliers and customers, for their continued support to enable the company to improve its performance and enhance its capabilities to support and keep pace with the economic renaissance witnessed by the Kingdom of Saudi Arabia.

The image features a large, stylized background graphic of a cement factory. The graphic is composed of several overlapping geometric shapes: a large dark blue triangle on the left, a medium blue triangle in the center, and a light blue triangle on the right. The background image shows three tall, cylindrical cement silos with spiral staircases, connected by a network of pipes and walkways. The sky is a clear, pale blue. The overall design is modern and industrial.

Najran

CEMENT

NAJLAN CEMENT COMPANY

www.najrancement.com